

FIRST INFORMATION REPORT

(Under Section 173 BNSS)

1. **District:** Bangalore **PS:** BS&FB Bangalore
Year: 2025
FIR No: RC0782025E0001 **Date:** 09/07/2025

2. **Acts & Sections:**

Acts	Sections	R/W Section
IPC	120 B	
IPC	403	
IPC	420	
IPC	468	
IPC	471	
PC Act-1988	13(2) r/w 13(1)(d)	

3. **Suspected offences:** Bank Fraud

(a) **Occurrence of offence:**

Day:

Time Period:

From Date:

2008

To Date:

2019

(b) **Information Received at PS:**

CBI BSFB BANGALORE

Date:

09/07/2025

(c) **General Diary Reference:**

Entry No.:

14

Date:

09/07/2025

Time:

20:45:18

4. **Type of Information:** Others

5. **Place of Occurrence:**

Chennai and other places in Tamil Nadu

(a) **Direction & distance from PS:**

Beat No.:

(b) **Address:**

Plot No.:

Area:

City:

Pin:

State:

District:

(c) **In case, outside the limit of this Police Station, then**

Name of PS:

District:

6. **Complainant / Informant:**

Complainant 1

(a) **Name:**

Mr. Davender Kumar

(b) **Father's/Husband's Name:**

(c) **Date/Year of Birth:**

(d) **Nationality:**

INDIAN

(e) **Passport:**

Passport No.	Date Of Issue	Place Of Issue
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(f) **Occupation:**

Chief Regional Manager, Indian Overseas Bank, Regional Office-I, Chennai

(g) **Address:**

Plot No	Area	City	State	District	Pin
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7. **Details of known/suspected/unknown accused with full particulars:**

Accused 1**Name:** M/s. Padmaadevi Sugars Limited(1)**Address:**

Registered Office at No. 106, Palayasivaram Village, Kanchipuram, Kanchipuram, Tamil Nadu, 631606

Accused 2**Name:** Mr.Hitesh Shivgan Patel (2)**Address:**

Director, M/s. Padmaadevi Sugars Limited, Chennai, Chennai, Tamil Nadu

Residing at Flat No. 8131, 8th Block, 13th Floor, TVH Lumbini Square, No.127, Bricklin Road, Purasaiwakkam, Vepery, Chennai, Chennai, Tamil Nadu, 600007

Accused 3**Name:** Mr.Dinesh Sivagan Patel (3)**Address:**

Managing Director, M/s. Padmaadevi Sugars Limited, Chennai, Chennai, Tamil Nadu

Residing at No. 1/813, Kuttralam Main Road, Piranoor Border, Shenkottai, Tenkasi, Tamil Nadu, 627809

Accused 4**Name:** Mr.Thamburaj Rajendran (4)**Address:**

Director, M/s. Padmaadevi Sugars Limited, Chennai, Chennai, Tamil Nadu

Residing at No. 153/8, Five Falls Road, Courtallam, Tenkasi, Tamil Nadu, 627802

Accused 5**Name:** Mr.Pandiya Raj (5)**Address:**

Director, M/s. Padmaadevi Sugars Limited, Chennai, Chennai, Tamil Nadu

Residing at No. 79/2, Thendral Nagar, Ilanji, Kunnakudi, Senkottai, Tirunelveli, Tirunelveli, Tamil Nadu, 627805

Accused 6**Name:** Mr.Venkata Perumal Murali (6)**Address:**

Chief Financial Officer, M/s. Padmaadevi Sugars Limited, Chennai, Chennai, Tamil Nadu, 631606

Residing at SV Sugar Mills Quarters, Palayaseevaram, Kanchipuram, Kanchipuram, Tamil Nadu, 631606

Accused 7**Name:** Unknown Public Servant(s) & Private Person(s)**Address:****8. Reasons for delay in reporting by the complainant/informant:**

No delay

9. Particulars of properties stolen:

Item Name	Age of Property	Estimated Value (In INR)
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10. Total value of property stolen:**11. Inquest Report/U.D. Case No., if any:****12. First information contents:**

This case is registered as per the Order dated 10.06.2025 of Hon'ble High Court of Judicature at Madras in CrI. OP No. 11527 of 2025 filed by the petitioner, M/s Srinidhi Finance Private Limited, Chennai, seeking directions for investigation by CBI.

The Hon'ble High Court of Madras, vide order dated 10.06.2025, directed CBI to register a case based on the complaint dated 03.08.2022 of Indian Overseas Bank. Copy of the order dated 10.06.2025, is taken as part of the FIR.

The allegations mentioned in the complaint dtd. 03.08.2022 of Indian Overseas Bank, Chennai discloses commission of offences U/s. 120-B, r/w 403, 420, 468 and 471 IPC and Sec. 13(2) r/w 13(1)(d) of PC Act 1988 committed by

1. M/s. Padmaadevi Sugars Limited (A-1) (formerly known as SV Sugar Mills Limited), Kanchipuram;
2. Shri. Hitesh Shivgan Patel (A-2), Director of M/s. Padmaadevi Sugars Limited;
3. Shri. Dinesh Sivaganpatel (A-3), Managing Director, M/s. Padmaadevi Sugars Limited;
4. Shri. Thamburaj Rajendan (A-4), Director, M/s. Padmaadevi Sugars Limited;
5. Shri. Pandiya Raj, Director (A-5), M/s. Padmaadevi Sugars Limited;
6. Shri. Venkata Perumal Murali (A-6), Chief Financial Officer, M/s. Padmaadevi Sugars Limited and
7. Unknown Public Servants and unknown others.

Hence, a Regular case u/s. 120-B r/w 403, 420, 468, 471 and Sec. 13(2) r/w. 13(1) (d) of the Prevention of Corruption Act, 1988, is registered against the above mentioned company and persons and the investigation is entrusted to Shri. Yogesh Kumar, Dy. Supdt. of Police, CBI, BSFB, Bangalore.

13. Action taken : Since the above information reveals commission of offence(s) u/s as mentioned at Item No. 2:

(1) **Registered the case and took up the investigation:** Yes

OR

(2) **Directed**

Name of IO:

Yogesh Kumar

Rank:

DY. SUPDT. OF POLICE (BS&FB Bangalore)

No:

106071

to take the investigation

OR

(3) **Refused investigation due to:**

OR

(4) **Transferred To PS:**

District:

on point of jurisdiction.

Attached documents:

Document name

Padmaadevi Sugars Ltd

Order dated 10.06.2025 of Hon'ble High Court of Madras

FIR read over to the complainant/informant, admitted to be correctly recorded and a copy given to the complainant / informant, free of cost.

R.O.A.C.

14. Signature/Thumb Impression of the complainant/informant

Signature of Officer in-charge Police Station

Name: Manjunath Singe

Rank: DY. INSP. GENERAL OF POLICE (BS&FB Bangalore)

15. Date and time of dispatch to the Court:

09.07.2025

21.30

Digitally signed by MANJUNATH SINGE
Date: 2025.07.09 20:53:09 IST
Reason:
Location:



Indian Overseas Bank
Regional Office - I, Chennai
Annexe Building, III Floor
763, Anna Salai, Chennai 600 002

Phone: 044 - 28521800, 28520107
Email: chennai1rm@iobnet.co.in

RO/VIG/208/ 01 /2025-26

Date: 07.07.2025

Shri Manjunath Singe, IPS,
Head of Branch (HOB),
Central Bureau of Investigation,
Bank Security & Fraud Branch, Bangalore
36, Bellary Road, 2nd Floor,
CBI Complex, Bangalore - 560032

Dear Sir,

Subject: Resubmission of the original Bank Complaint dated-03.08.2022 to CBI, Bangalore Office as per their request via email dated 07.07.2025.

AC: M/s. Padmaadevi Sugars Limited (Formerly Known as S V Sugar Mills Limited)

We refer to captioned subject and email dated 07.07.2025 from the office of the Head of Branch, CBI, BSFB, Bangalore regarding resubmission of the original Bank complaint dated 03.08.2022 of **M/s. Padmaadevi Sugars Limited**.

We are resubmitting the original complaint dated 03.08.2022 to CBI, BSFB, Bangalore office.

We request you to provide copy of the RC/FIR as and when it is registered.
Kindly acknowledge the same.

Thanking you

Yours faithfully

(Hari Raman)
Chief Regional Manager



Encl: 1. Original Bank Complaint dated 03.08.2022

F 9 JUL 2025	
NAME / TITLE	3609-PA
DESIGNATION	
SUMMONS / NOTICE	
HQ	



Indian Overseas Bank
Regional Office - I, Chennai
Annexe Building, III Floor
763, Anna Salai, Chennai 600 002

Dy.No. 1352
SP/Bank Complaint Cell
Date 16/8/22

Phone: 044 - 28521800, 28520107
Email: chennai1rm@iobnet.co.in

RO/VIG/208/ /2020-21

Date: 03.08.2022

Shri Anurag IPS,
Head of Zone,
Central Bureau of Investigation,
BS & F Zone, 5-B, 10th Floor, A-Wing,
CGO Complex, Lodhi Road
New Delhi - 110003

Dy. No. 1209
1209(D) HOZ/BS&F
Date 10/08/2022

Dear Sir,

Filing of Complaint against M/s. Padmaadevi Sugars Limited (Formerly Known as S V Sugar Mills Limited)

Indian Overseas Bank, a body corporate constituted under the Banking Companies (Acquisition and transfer of undertakings) Act, 1970 having its Central Office at No. 763 Anna Salai, Chennai and branches across the country including one such branch at Asset Recovery Management Branch, 763, Anna Salai, Chennai-600002, Tamil Nadu which comes under administrative control of Indian Overseas Bank, Regional Office, Chennai-1 at 763, Anna Salai, Chennai Pin code 600002.

I, Davender Kumar, aged about 49 years, working as Chief Regional Manager, Indian Overseas Bank, Regional Office Chennai-1, I am duly authorized by the competent authority of the complainant bank to lodge this complaint.

Complaint against: -

1. M/s. Padmaadevi Sugars Limited formerly Known as S V Sugar Mills Limited
Registered Office:
No:106 Palayasivaram Village, Kancheepuram : Pin : 631606
Tamil Nadu.
CIN No: U15421TN1995PLC029913,
PAN NO: AAACS9094H
Phone no : 044-2725 8003, 2725 80009
email: corporate@padmaadevi.com
mail@padmaadevi.com
web:www.padmaadevi.com



2. Shri. Hitesh Shivgan Patel – Director
Residing at No: Flat.no 8131, 8th Block
13th Floor, TVH Lumbini Square, No :127 Bricklin Road, Purasaiwakkam,
Vepery, Chennai- 600 007 Tamil Nadu
Mail Id :hitesh@prabhatgroup.com
PAN NO:AAXPH1621D, DIN: 01796510
3. Shri. Dinesh Sivaganpatel – Managing Director
Residing at : 1/813, Kutralam Main Road, Piranoor Border, Shenkottai-
Tamil Nadu Pin code : 627809
Mail Id : dineshpatel@prabhatgroup.com
PAN NO: AAVPS9187P, DIN: 00021220
4. Shri. Thamburaj Rajendran -- Director
Residing at No. 153/8, five falls Road, Courtallam-627802 Tamilnadu
PAN NO: ACQPR3061G, DIN: 02516141
5. Shri.Pandiyaraj --- Director
Residing at : 79/2 Thendral Nagar, Ilanji, Kunnakudi, Senkottai, Thirunelveli-
Pin :627805 Tamilnadu:mail id: shinago@gmail.com
PAN No :AQPPP8845F, DIN :06944645
6. Shri.Venkata Perumal Murali ---- CFO
Residing at : S.V. Sugar Mills Quarters, Palayaseevaram, Kancheepuram-
Pin Code :631606, Tamil;nadu
PAN No :APBPM8686E, Mial id : corporate@padmaadevi.com
7. Other Unknown person and Public servants

S. No	Details required	Details submitted
1	The complainant has authorization from the competent authority to file the complaint	Yes. The complainant is duly authorized by the competent authority to lodge the complaint with CBI
2	The account has been declared NPA as per the laid down procedure	The account has been classified as Non-Performing Asset on 30.06.2012 as per Bank's guidelines.
3	The date of NPA and outstanding thereof have	Date of NPA 30.06.2012 Book Outstanding : Rs.120.84 Crs as on 31.12.2020 (excluding



	been mentioned	accrued interest from 01.07.2012)
4	The NPA account has been declared as fraud, with the date of declaration	The account is declared as fraud and fraud reported to RBI on 16.10.2020 vide FMR No. IOBK-2004-0051
5	Where there is delay in filing complaint with CBI after declaration of fraud by the bank. The delay has been explained.	There is no delay in lodging the complaint.
6	The grounds for declaring the fraud by the bank are mentioned clearly.	1. Company's property which Bank has taken as collateral security - Sugar Factory - has been attached by the Deputy Commissioner of Income Tax Department under section 24(4)(a)(i) of the Prohibition of Benami Property transactions act, 1988. Details of the Property: Sugar factory belonging to M/s. Padmaadevi Sugars Limited (PSL), along with the land and all the machinery, installation etc, located at Palayasivaram Village, Kancheepuram, Tamilnadu. Order no:41/DCIT(BP)/2019-20 dated 28.01.2020 states that Search actions were initiated in the case of Smt. V K Sasikala & Others on 09.11.2017, 17.11.2017 and 28.11.2017, during the course of search proceedings, various incriminating documents and loose sheets were found and seized, which inter- alia shows that during the period of demonetization, amount of Rs.450 crores was paid for purchase of sugar mill belonging to the Patel Group. Shri. Hitesh Shivgan Patel, who was managing the financial affairs of M/s. Padmaadevi Sugars Limited (PSL) who is also the incharge of Prabhat Group, stated on oath that he had received total of Rs.450 crores in OHD (Old High Denomination Notes) cash towards the sale of sugar factory at Kancheepuram and MOU was entered into regarding sale of M/s. Padmaadevi Sugars limited (PSL). He further stated that MOU was signed by himself, his father Shivgan Patel and his brother Dinesh Patel. Subsequently on 18.11.2017 during search operations the IT department also seized one MOU and Original share certificates of M/s SV Sugar Mills Limited (former name of Padmaadevi Sugars Limited (PS), which were held by the family members/ entities of Patel Group. The Proceedings of the attachment concluded M/s. Padmaadevi Sugar Ltd is a Benamidar, as they are holding the Property i.e Sugar factory belonging to M/s. Padmaadevi



Sugars Limited, along with the land and all machinery, installations etc, located at Palayaseevaram, Kancheepuram (even after Patel Group receiving an amount of Rs.450 crores towards sale of the M/s. Padmaadevi Sugar Ltd, along with shares and assets) for the benefit of Smt. V K Sasikala, who paid the consideration of total of Rs.450 crores for purchase of the mentioned property, is the **Beneficial Owner** and the property in the instant case, i.e. Sugar factory belonging to M/s. Padmaadevi Sugars limited, along with the land and all the machinery, installations etc, located at Palayasivaram Village , Kancheepuram is **Benami Property**

2. The Resolution Professional has appointed Registered Valuer as per the committee of creditors direction in its 3rd Meeting held on 29.07.2019, as some of the members felt that some machineries and their parts are missing.

The Registered Valuer verified availability of the machineries based on the ITCOT. valuation report of 2018 and submitted a detailed report on 11.11.2019 to the RP

The RP noticed as per the Registered valuer report that the critical components and spares of the Machineries are missing from the premises of the Corporate Debtor. The RP submits that it is likely that between March 2018 (ITCOT report) to 29th October 2018, the suspended directors / promoters seems to have taken away the critical parts and spares of the machineries from the premises of the Corporate Debtor, after they came to know that the Bank of India has filed Insolvency petition against the CD.

Valuation submitted By

ITCOT Consultancy and Services Ltd dated March -2018

Plant Details	Distress sale Value in Crores
Plant & Machinery – A-Mill	15.17
Plant & Machinery – B-Mill	33.18
Co- Generation Plant	30.17
Total Value	78.52

Valuation submitted By

M/s K. Paneerchelvam report dated 26.11.2019

Plant Details	Realizable Value in Crores
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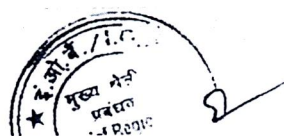
Plant & Machinery – A-Mill	3.67
Plant & Machinery – B-Mill	6.44
Co- Generation Plant	11.39
Total Value	21.50

For the aforesaid reasons the RP has filed application on 26.11.2019 against the suspended directors to get directions from the Adjudicating Authority for the recovery of the loss caused on account of the removal of assets illegally within one year immediately preceding to the CIR process period in the interest of the Creditors of the company. The value of the assets of the corporate debtor drastically came down from the actual value due to the illegal removal of assets.

Professional, NCLT on 26.11.2019 has Based on the above facts and circumstances, Resolution Professional applied to NCLT for the following

- a. To direct the Suspended Directors/Promoters jointly and severally to contribute a sum of Rs. 75,88,87,000/- in to the Corporate Debtor account which is equal to the sum against illegal removal and selling of the machineries of the Corporate Debtor immediately within one year proceeding the CIRP process period.
- b. To punish the respondents in accordance with the Code.
- c. To Order for Investigations/Forensic audit of the Corporate Debtor based upon the Valuation Report for recovery of good of the loss on account of illegal removal of assets based upon the valuation done by the Registered Valuer on estimated realizable value basis against Mr. Hitesh S. Patel, Mr. Dinesh S. Patel, Mr. Thamburaj Rajendran, Mr. Pandiyaraj and Mr. Venkataperumal Murali.

✓ **Long Term Interest Free Loan and advances extended to various parties adjusted intentionally with current and non current liabilities to avoid any liability under section 43 of IBC 2016. The amount of such advances tantamount to Rs 59.64 crores which clearly deviates from the main purpose of its facility availed in the bank. Thus intentionally misused the funds availed for business.**



		Unrelated capital work in progress were considered which was unreasonable to the nature of operation of the company to the tune of 13.93 crs to various suppliers of which one of the suppliers are related parties creating suspicion of siphoning of funds with fraudulent intentions. Loan were granted to various parties over the years without any interest for an unreasonable period of time without the consent of the board. These transaction includes no connection between the business of the corporate debtor which is again suspicious and fraudulent intentions. Numerous cash deposits the tune of 9.95 crores were deposited during demonization period by the company which creates suspicion of the source of receipt and application of the cash deposited during the demonetization period.
7	Details of background of company, sanctioned credit facilities. Primary and collateral securities etc are mentioned.	S V Sugar Mills Ltd., was established in the year 1995 by Late Shri N P V Ramasamy Udayar and was a wholly owned subsidiary of Mohan Breweries and Distilleries Ltd., The company set up a sugar mill at Palayaseevaram village near Chingleput with an installed capacity of 2500 tcd. The company commenced operation in Jan 1996. The unit for cogeneration of power was set up with a capacity of 15 MW. The company was enjoying <u>working capital limit</u> under <u>multiple banking arrangement</u> with SBI and IOB. Thereafter the company surrendered the limits with SBI and started enjoying facilities from IOB solely. ✓ The company expanded the sugar mill capacity to 6500 tcd and cogeneration capacity to 27 MW with term loan facilities sanctioned by our Bank. The company also availed a term loan of Rs. 84.75 Crore from <u>Bank of India</u> for establishing a Distillery unit and completed the same. BOI also reported fraud in the said account and lodged separate CBI Complaint against the Company Padmaadevi Sugars Limited.



While the operations were more or less satisfactory till about 2008 the company is reported to have faced several problems during the years 2008-09 on account of low availability of sugarcane due to strained relationship with registered farmers. This had affected the performance of the company. The company's debts were rescheduled during 2009 (second time). There have been no improvements even thereafter. The power division did not function as the company's request for TNEB for waiver of penalty for shortfall in power generation was not forthcoming. The account was classified as NPA as on 30.6.2010.

At this juncture Prabhat group of companies entered offering to acquire the company and brought in Rs. 15.00 Crore on 30.7.2010 and the account was upgraded. Mr. Dinesh S Patel and Mr. Hitesh S Patel representing the investors entered the company as directors. They took initiative & brought in Rs. 100.00 Crore while we had sanctioned a corporate loan of Rs.50.00 Crores for restarting the activities. Some improvements were observed immediately after this initiative. However, the same could not be sustained over a long period and the company started defaulting in meeting its obligations and the account was again classified as NPA as on 30.6.2012. All the efforts to restructure under CDR mechanism were also unsuccessful.

Details of credit facilities availed by the company from our Bank:

Company was banking with us since 1996. Company availed credit facility in form of Term Loan and Cash Credit. As per last Sanction dated 19.03.2013, company had availed following credit facilities

Details of Credit Facilities sanctioned from time to time Date of Sanction :	
15.02.2008 Sanctioned by MCB, Central Office, Chennai Nature of Limit	Amount sanctioned (Rs. In Crores)
Term Loan -1	19.70
Term Loan -2	75.00



Term Loan-3	15.00
Term Loan-4	10.00
Cash Credit	60.00
LC/LG	4.00
Total	183.70

Details of Credit Facilities sanctioned from time to time Date of Sanction : 02.11.2009 Sanctioned by MCB, Central Office, Chennai Nature of Limit	Amount sanctioned (Rs. In Crores)
Term Loan -1	12.70
Term Loan -2	75.00
Term Loan-3	15.00
Term Loan-4	10.00
Cash Credit	60.00
LC/LG	4.00
Total	176.70

Details of Credit Facilities sanctioned from time to time Date of Sanction : 31.12.2011 Sanctioned by MCB, Central Office, Chennai Nature of Limit	Amount sanctioned (Rs. In Crores)	Present Out- Standing
Term Loan -2	49.00	11.07
Term Loan -3	9.75	
Term Loan-4	1.25	
Corporate Loan	50.00	50.00
Cash Credit	60.00	59.76
LC/LG	5.00	
Total	175.00	120.84



Details of Guarantors:

1. M. Ethirajan
2. M. E. Shanmugam
3. Dinesh . S. Patel
4. Hitesh S. Patel

Name	Pan No	Address
M Ethirajan	AAXPH1621D	No :110, Dr. Radhakrishnan salai Mylapore Chennai600 004
ME Shanmugam	AAGPS0240L	No :110, Dr. Radhakrishnan salai Mylapore Chennai600 004
Dinesh S Patel	AAVPS9187P	1/813,Kutralam main road, Piranoor Border, Shenkottai-627809
Hitesh S Patel	AAXPH1621D	Flat no 8131, 8 th Block,13 th floor, TVH lumbini square, no 127 Bricklin road, Purasawalkam Vepery chennai:600007

Account slipped to NPA within one year of sanction. Limits fully utilized within three months of sanction and excess in the account over the sanctioned limit in the account is due to debit of devolved LCs.

Details of Securities:**Prime :**

As per the Board note dated 12.12.2011 at the time of sanction, stock statement dated 19.11.2011 inventories and receivables valued at Rs.53.51 Crores.

Term loans- First charge on block assets of the company including mortgage of factory land excluding mortgage of factory land excluding distillery unit and HP assets. (Rs.295.42 Crores as per valuation report dated 03.01.2011

At the time of NPA date 30.06.2012 (stocks Position) as per the stock statement submitted by the company



**Stocks = Rs.40.24 crores ;Book debts Rs.15.14 crores=
Total Rs.55.38 Crores**

First Charge by way of hypothecation of stocks of Sugar, Molasses, Stores and spares, situated at the factory premises at Palayaseevaram village, and Kancheepuram taluk, Tamilnadu.

- a. First charge by way of hypothecation on the Receivables of the company
- b. First charge by way of hypothecation on the entire Block assets of the company excluding Hire Purchase assets and assets financed by Bank of India for the Distillery Division.
- c. Exclusive charge on Sugar Clarifier Machine.
- d. First charge by way of equitable mortgage of all the land & building measuring 66.51 acres and 23.98 acres in various Survey numbers as per the Annexure 1 & 2 and the buildings thereon at 174 Palayaseevaram village Kancheepuram taluk Kancheepuram District Palayaseevaram Post 631606.

At the time of last sanction valuation taken for factory land of 66.51 acres only while valuing the factory land & building and plant and machineries' of the SVSML

The company has created equitable mortgage of additional land measuring 23.98 acres whose value is Rs.20.62 crores as additional security

Collateral :

Working capital limits to the company are collaterally secured by second charge on the entire block assets of the company including the distillery division but excluding HP assets.

Notes: First charge on distillery division is available in favour of Bank of India for the credit limits extended to the company. The same is available as second charge for our bank for the working capital limits on reciprocal basis while second charge on fixed assets of the company other than distillery division is extended to Bank of India



Item No.1: (Factory)

All that piece and parcel of land and building thereon situated in No.174, Palaya Seevaram Village, Kancheepuram Taluk & District, Kanchipuram Registration District, total extent of **66.51 Acres.**

Item No.2:

All the part and parcel of the lands in No.174, Palayaseevaram Village, Kancheepuram Taluk, Registration District of Kancheepuram, total extent of **23.98 Acres**

S.No.	Facility	Description of security	Amount in ₹ in crs
1	Cash Credit	Hypothecation of stock and book debts	Value is negligible
2	Term Loans and Corporate Loans	First charge on entire block assets of the company (excluding the plant and machinery of Distillery unit financed by Bank of India)	As under
About 90 acres of land with a building of 365465 sqft at various Survey Nos of Pazhayaseevaram village, Chingleput-Kancheepuram Road, Kancheerpum taluk, Kancheepuram district, Tamil Nadu 631606 owned by the company		Valuation by Mr. R Thirumal, Panel Valuer as per Valuation report dt. 29.5.2017	FMV- ₹.95 Crs FSV- ₹.76.00 Crs
		Valuation by Mr.D Balaji, Panel Valuer as per valuation report dt. 25.5.2017	FMV- ₹.98.02 Crs FSV- ₹.81.00 Crs
Plant, Machinery , Equipments at factory (Except Distillery Unit- hypothecated to BOI)		Valuation by Mr. V V Soundararajan, Panel valuer as per report dt. 10.8.2017	FMV- ₹.90.00 Crs FSV- ₹.67.50 Crs
		Valuation by Hi Tech Valuers, Panel Valuers as per report dt.27.11.2017	FMV- ₹.84.07 Crs FSV- ₹.47.67Crs

Valuation of assets of the company was carried out by M/s Bhide Associates Chennai dated 03.01.2011 as per the Board note dated 12..12.2011 at the time of sanction

Total value of factory land & Building and plant and Machinery- Rs.316.04 Crores



Valuation at the Time Of Sanction (In Crores)

Particulars	Extent	FSV (Rs in Crores)
Land	66.51 acres	57.20
Land (given subsequently but not included in the valuation)	23.98 acres	20.62
Building		45.16
Plant & Machinery		193.06
Total		316.04

Records available with Stock & Credit Audit dated 29.02.2016

Plant & Machinery valued on 02.02.2015 by V V Soundarajan	114.48 Crores
Land & Building Valued on 31.01.2015 by Hitech Valuer	92.57
Total	207.05 Crores

Valuation by R. Thirumal dated 29.05.2017 ((Land & Building)	FSV : 76.00 crores
Valuation by V V Soundararajan dated 10.08.2017 (Plant & Machinery)	FSV : 67.50
TOTAL	Rs.143.50 Crores

Valuation by D. Balaji dated 25.05.2017 ((Land & Building	FSV : 81.00 Crores
Valuation by Hi Tech Valuers dated 25.05.2017 (Plant & Machinery)	FSV : 47.67 Crores
Total	Rs.128.67 Crores

Action taken for recovery:

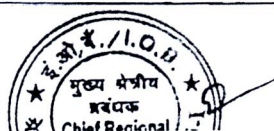
- Demand Notice under SARFAESI issued on 04.12.2012 Joint symbolic Possession Notice issued on 03.05.2013
- Suit filed with DRT-II, Chennai, OA no 80/2018. Sale notice was issued on 12.02.2018 and published in newspaper on 14.02.2018 e-auction conducted on 21.03.2018, however no bidder for the property was observed. Again, we issued second sale notice on 30.04.2018 was published in newspaper on 04.05.2018, e-auction conducted on 23.05.2018, the auction failed for want of bidders.

The Borrower had offered an OTS settlement of Rs.164.77 crores on 28.09.2013 and time given up to 30.09.2014

The Company paid total amount of Rs. 47.00 Crores only. OTS offer was cancelled



	thereafter by the Bank.	
8	Legal facts constituting cognizable offence have specific mention	1. Company's property which Bank has taken as collateral security – Sugar Factory – has been attached by the Deputy Commissioner of Income Tax Department under section 24(4)(4)(a)(i) of the Prohibition of Benami Property transactions act, 1988. Details of the Property: Sugar factory belonging to M/s. Padmaadevi Sugars limited, along with the land and all the machinery, installation etc., located at Palayasivaram Village, Kancheepuram, and Tamilnadu. 2. The Resolution Professional has appointed Registered valuer as per the committee of creditors direction in its 3rd Meeting held on 29.07.2019, as some of the members felt that some machineries and their parts are missing. The Registered valuer verified availability of the machineries based on the ITCOT valuation report of 2018 and submitted a detailed report on 11.11.2019 to the RP The RP noticed as per the Registered valuer report that the critical components and spares of the Machineries are missing from the premises of the Corporate Debtor. The RP submits that it is likely that between March 2018 (ITCOT report) to 29th October 2018, the suspended directors / promoters seems to have taken away the critical parts and spares of the machineries from the premises of the Corporate Debtor, after they came to know that the Bank of India has filed Insolvency petition against the CD. For the aforesaid reasons the RP has filed application on 26.11.2019 against the suspended directors to get directions from the Adjudicating Authority for the recovery of the loss caused on account of the removal of assets illegally within one year immediately preceding to the CIR process period in the interest of the Creditors of the company. The value of the assets of



		the corporate debtor drastically came down from the actual value due to the illegal removal of assets.
9	Name(s) and role of erring bank official(s) as per the staff Accountability Report is /are clearly mentioned.	Staff Accountability Verification exercise completed and report submitted on 16.11.2020 and found no staff lapses.
10	Findings of Forensic Audit Report, if conducted and Internal Investigation Report are duly incorporated	M. K. Dandekker & CO Chartered Accountants has been ordered to conduct forensic audit. the gist of the same is produced and the copy of the same is enclosed Long Term Interest Free Loan and advances extended to various parties adjusted Intentionally with current and non-current liabilities to avoid any liability under section 43 of IBC 2016. The amount of such advances tantamount to Rs 59.64 crores which clearly deviates from the main purpose of its facility availed in the bank. Thus Intentionally misused the funds availed for business. Unrelated capital work in progress were considered which was unreasonable to the nature of operation of the company to the tune of 13.93 crs to various suppliers of which one of the suppliers are related parties creating suspicion of siphoning of funds with fraudulent intentions. Loan were granted to various parties over the years without any interest for an unreasonable period of time without the consent of the board. These transaction includes no connection between the business of the corporate debtor which is again suspicious and fraudulent intentions. Numerous cash deposits to the tune of 9.95 crores were deposited during demonization period by the company which creates suspicion of the source of receipt and application of the cash deposited during the demonetization period.



11. Details of crime proceeds / end use funds as per the findings of Forensic Audit are mentioned.

1. Company's property which Bank has taken as collateral security – Sugar Factory – has been attached by the Deputy Commissioner of Income Tax Department under section 24(4)(a)(i) of the Prohibition of Benami Property transactions act, 1988. Details of the Property: Sugar factory belonging to M/s. Padmaadevi Sugars limited (PSL), along with the land and all the machinery, installation etc, located at Palayasivaram Village, Kancheepuram, and Tamilnadu.

2. The RP noticed as per the Registered valuer report that the critical components and spares of the Machineries are missing from the premises of the Corporate Debtor. The RP submits that it is likely that between March 2018 (ITCOT report) to 29th October 2018, the suspended directors / promoters seems to have taken away the critical parts and spares of the machineries from the premises of the Corporate Debtor, after they came to know that the Bank of india has filed Insolvency petition against the CD.

Valuation submitted By

ITCOT Consultancy and Services Ltd dated March - 2018

Plant Details	Distress sale Value in Crores
Plant & Machinery – A-Mill	15.17
Plant & Machinery – B-Mill	33.18
Co- Generation Plant	30.17
Total Value	78.52

Valuation submitted By

M/s K. Paneerchelvam report dated 26.11.2019

Plant Details	Realizable Value in Crores
Plant & Machinery – A-Mill	3.67
Plant & Machinery – B-Mill	6.44
Co- Generation Plant	11.39
Total Value	21.50

For the aforesaid reasons the RP has filed application on 26.11.2019 against the suspended directors to get



		directions from the Adjudicating Authority for the recovery of the loss caused on account of the removal of assets illegally within one year immediately preceding to the CIR process period in the interest of the Creditors of the company. The value of the assets of the corporate debtor drastically came down from the actual value due to the illegal removal of assets. Long term (Interest Free) loans and advances extended to various parties which were outstanding were either adjusted or reversed, making their balance nil adjusting by the banks funding. Additions to Capital work In progress were considered to be unreasonable and unrelated to the nature of operation of the company to their related parties for siphoning the funds. Advances were extended to non-business related parties over the years without charging any interest without the knowledge of the corporate debtor.
12	In case of uncertainty about the criminality on the part of the bank officials. The bank has mentioned allegations against unknown public servants.	Prima facie no involvement of Public servant in the fraud is found. However, during the course of investigation any element of fraud is detected against any of the Public servant /employee appropriate criminal action under law of the land may be initiated against the erring members.
13	Roles of CA, Statutory Auditors, Stock Auditors, Empanelled Valuers, etc if any are mentioned.	Need to be probed by the investigating agencies.
14	Availability of relevant original documents and their safe custody with the bank is mentioned.	The original loan documents are with DRT-II Chennai All other documents and correspondence are available with IOB ARM Branch, situated at Regional office Chennai-1, Annexe Building Indian Overseas Bank, Central Office, 762, Anna Salai, Chennai: 600 002
15	The bank has ensured that there is no contradiction in the complaint as to whether it is an act of crime or a business loss.	Yes



16	Role of individual suspects in perpetration of fraud	Suspect No.1 is the borrower company who has defrauded the bank and Suspect No.2, 3 and 4 & 5 are directors of the company, Fraud in the a/c of suspect No.1 is perpetrated by Suspect NO. 2,3 4 , 5, and 6 who are in full control of administration of the affairs of the Company. Suspect No.1 is M/s- Padmaadevi Sugars Limited formerly Known as S V sugar Mills Limited - Borrower company Suspect No.2 is Shri, Hitesh Shivgan Patel - Director Suspect No.3 is Shri.Dinesh Sivagan patel-Director Suspect No.4 is Shri .Thambudurai Rajendran, Director Suspect No.5 is Shri .PandiyaRaj- Director Suspect No 6 is Shri. Venkata Perumal ,Murali- CFO of the Company																													
17	Details of Associates	<table><tr><th>Company Name</th><th>Activity</th><th>Bank</th></tr><tr><td>Shinago infrastructure and Resources Limited</td><td>Trading in Timber, Coal and Warehousing</td><td>PNB- T-Nagar Chennai</td></tr><tr><td>Prabhat Saw Mill</td><td>Trading in Timber</td><td>CBI- Egmore</td></tr><tr><td>Maruti saw Mill</td><td>Trading in Timber</td><td>BOB- Trichy</td></tr><tr><td>Bhavani Saw Mill</td><td>Trading in Timber</td><td>BOB- Trichy</td></tr><tr><td>SuryaTimber Traders</td><td>Trading in Timber</td><td>PNB- Tenkasi</td></tr><tr><td>Patidar Wood Works</td><td>Trading in Timber</td><td>PNB- Tenkasi</td></tr><tr><td>Patidar wood Private Ltd</td><td>Trading in Timber</td><td>PNB- Tenkasi</td></tr><tr><td>Shinago Exim Pvttd</td><td>Trading in timber and coal</td><td>PNB- Tenkasi</td></tr></table>	Company Name	Activity	Bank	Shinago infrastructure and Resources Limited	Trading in Timber, Coal and Warehousing	PNB- T-Nagar Chennai	Prabhat Saw Mill	Trading in Timber	CBI- Egmore	Maruti saw Mill	Trading in Timber	BOB- Trichy	Bhavani Saw Mill	Trading in Timber	BOB- Trichy	SuryaTimber Traders	Trading in Timber	PNB- Tenkasi	Patidar Wood Works	Trading in Timber	PNB- Tenkasi	Patidar wood Private Ltd	Trading in Timber	PNB- Tenkasi	Shinago Exim Pvttd	Trading in timber and coal	PNB- Tenkasi		
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18	Status of NCLT proceedings	The account was admitted into NCLT on 15.10.2018																													
19	Status of account with other banks	Bank of India has extended Term loan for the Distillery division <table><tr><th>Bank Name</th><th>Amount (Rs.Crs)</th><th>Present Position</th></tr><tr><td>Bank of India</td><td>69.93</td><td>Fraud declared</td></tr></table>			Bank Name	Amount (Rs.Crs)	Present Position	Bank of India	69.93	Fraud declared																					
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20	Details of assets and liabilities of the suspects as per bank records are submitted in Annexure -1	Details furnished in Annexure																													
21	Details of FIR's registered against the suspects by other banks and financial institutions	Not Known.																													



As a result of the fraud perpetrated on the complainant Bank loss to the tune of **Rs.120.84 Crores** caused to the complainant Bank. As such the complainant Bank pray for registration of RC against the suspects.

The suspects had jointly defrauded the Complainant Bank and caused a loss of **Rs.120.84 Crores**, thus it is clear that the Complainant Bank is defrauded and cheated by the above mentioned suspects and others as detailed above.

We, therefore, request you to lodge FIR against all the suspects, for having defrauded the Bank jointly, by conspiring together misrepresenting the facts and cheating the Complainant Bank causing wrongful loss of **Rs.120.84 Crores**. If involvement of any public servant is observed during the course of investigation appropriate proceedings under Prevention of Corruption Act or any other law of the land as deemed fit may be initiated.

Complainant Bank also requests for assistance of the authorities for recovery of the public money lost by it due to perpetration of the fraud by the above mentioned company and other accused.

Thanking you

Yours faithfully



(Davender Kumar)
Chief Regional Manager



- Encl: 1. Details of the securities
2. Internal investigation report dated 16.11.2020
3. Copy of the RP application filed with NCLT
4. Valuation copy from ITCOT dated March-2018
5. Valuation copy details dated 26.11.2019
6. FMR report 16/10/2020
7. Income Tax Order (Benami Property) dated 28/1/20200
8. Forensic Audit Report



IN THE HIGH COURT OF JUDICATURE AT MADRAS

DATED: 10.06.2025

CORAM:

THE HONOURABLE MR. JUSTICE **D.BHARATHA CHAKRAVARTHY**

CrI.O.P.No.11527 of 2025

Srinidhi Finance Private Limited,
New No. 5/1, Old No. 3/1,
6th Cross Street, CIT Colony,
Mylapore, Chennai – 600 004.

Represented by its Authorised Signatory;

Mr.B.Chandramouli

srinidhi.fin@gmail.com

...Petitioner

Vs.

1. Central Bureau of Investigation,
Represented by Head of Branch,
Banking Securities & Fraud Branch -CBI,
36, Bellary Road, 2nd Floor,
CBI Complex, Ganga Nagar,
Bangalore – 560 032.
nobbsblr@cbi.gov.in
hozbsfz@cbi.gov.in
2. M/s.Indian Overseas Bank,
Commercial and Institutional Credit Branch,
R.K.Salai, Mylapore,
Chennai - 600 004,
iob1535@iob.in
3. M/s.Bank of India,
Asset Recovery Branch,
No. 30, Errabalu Street, Star House
4th Floor, Chennai – 600 004,
arb.chennai@bankofindia.co.in

...Respondents



Cr.O.P.No.11527 of 2025

Prayer: Criminal Original Petition filed under 528 of Bharatiya Nagarik Suraksha Sanhita (BNSS), 2023, to direct the Respondent No.1 viz., Central Bureau of Investigation to conduct Investigation into the affairs of Padmaadevi Sugars Limited, with its registered office at 106, Palayasivaram Village, Kancheepuram, Tamil Nadu, India - 631 606 (now under liquidation under IBC with Mr.S.Rajendran as the Liquidator) based on the complaint dated 22.07.2021/03.08.2022 lodged by Indian Overseas Bank (the Respondent No.2) with the 1st respondent herein in accordance with law.

For Petitioner : Mr.Satish Parasaran, Senior Counsel
Mr.R.Bharadwajaramasubramaniam

For R1 : Mr.K.Srinivasan,
Special Public Prosecutor for CBI cases

For R2 & R3 : Mr.S.Sathyannarayanan

ORDER

This Criminal Original Petition is filed to direct the first respondent, namely the Central Bureau of Investigation, to conduct an investigation into the affairs of Padmaadevi Sugars Limited, a company now under liquidation, having its registered office at No. 106, Palayasivaram Village, Kancheepuram, Tamil Nadu, India - 631 606, based on the complaints dated 22.07.2021 and 03.08.2022 lodged by Indian Overseas Bank.



2. Heard, *Mr. Satish Parasaran* , the learned Senior Counsel appearing on behalf of the petitioner, *Mr. K. Srinivasan* , the learned Special Public Prosecutor appearing on behalf of the Central Bureau of Investigation - first respondent, and *Mr. S. Sathyanarayanan*, the learned counsel appearing on behalf of the second and third respondents.

3. The crux of the allegations is that Padmaadevi Sugars Limited, having obtained loans from Indian Overseas Bank and other banks, had an outstanding sum of Rs. 120.84 crores to Indian Overseas Bank alone as of 30.06.2012, indulged in certain fraudulent activities where the hypothecated machinery was stealthily sold without the creditors' knowledge. These transactions occurred even while negotiations were ongoing and shares and assets were being transferred from one group to another. This is categorically mentioned in the complaint, suggesting the commission of cognizable offences. However, no case was registered. Subsequently, the third respondent bank and other creditors lodged repeated complaints. In spite of this, the first respondent did not register any case; therefore, the petitioner has approached this Court.



4. The original petition is opposed by the first respondent through the filing of a counter. Their case is that, initially, when the complaint was received, the information provided was insufficient to register a First Information Report, as the relevant loans were declared NPAs in the years 2010 and 2012, and the accounts were designated as fraudulent in 2020. Therefore, no petition or complaint was pending with the first respondent. In the meantime, the State of Tamil Nadu has withdrawn consent under Section 6 of the Delhi Special Police Establishment Act, 1946, and thus, at this stage, they cannot take up the allegations.

5. The learned counsel appearing for the second and third respondent banks drew the Court's attention to the communication dated 28.03.2025 issued by the Deputy Inspector General, CBI, Bangalore, which categorically states that the first two complaints filed on 03.08.2022 and 01.04.2024 were analysed. Regarding the first set of complaints from 2022, they were returned to the banks requesting certain clarifications.

6. The learned counsel appearing for the second and third respondents submitted that the banks were required to furnish additional information, including conducting a forensic audit. He stated that, in fact, the second



complaint dated 01.04.2024 is merely an update with the particulars previously sought by the first respondent. A review of the complaint clearly shows, column-wise, the queries made by the first respondent and the compliance provided by the bank. Therefore, as of 01.04.2024, the required compliances were duly fulfilled. Subsequently, the first respondent, relying upon the judgment of the Hon'ble Supreme Court in *State Bank of India and Others v. Rajesh Agarwal and Others (2023 6 SCC 1)*, once again contended that the bank had not complied with the mandatory directions given in the said judgment and therefore took no action on the grounds that the directives of the Hon'ble Supreme Court of India in *Rajesh Agarwal* were not complied with. The learned counsel further argued that even in the original judgment rendered by the Hon'ble Supreme Court in the said case, in paragraph 98.1, it is stated that regarding the registration of an FIR, no opportunity needs to be given to the accused, in line with the basic principle that an investigation can begin without hearing the accused.

7. In reply, the learned Senior Counsel appearing for the petitioner would submit that, in a subsequent judgment, *Central Bureau of Investigation v. Surendra Patwa and Others (2015 INSC 572)*, the Hon'ble



Supreme Court specifically clarified that the requirement regarding the show cause notice, or with reference to the other civil actions, would not apply for the registration of First Information Reports. Therefore, even if the order classifying the account as fraudulent is quashed by the Courts on the grounds of principles of natural justice, the registration of the FIR and the investigation are not affected by the rule requiring *audi alteram partem*. In view thereof, he would submit that the stand taken by the first respondent organization can no longer be countenanced.

8. I have considered the rival submissions made on either side and reviewed the material records of the case.

9. It is undisputed that, upon reviewing the complaint and the allegations presented, *prima facie* cognizable offences of criminal misappropriation are established. Further inquiry or investigation is necessary to determine whether public servants in various banks were involved, which will be revealed during the investigation process. The only reason the case was not registered in 2022 was that the information provided was insufficient. However, it can be observed from the subsequent complaint dated 01.04.2024



that the necessary compliance has been made and all required information has been furnished.

10. In view thereof, and even though the State of Tamil Nadu has withdrawn general consent under Section 6, given the facts and circumstances of the case, where the amount involved is said to be around Rs. 100 crores worth of plant and machinery that is said to be sold and the amounts misappropriated, I am of the view that this is a fit case to be entrusted to the first respondent for investigation.

11. As for the arguments relating to non-compliance of principles of natural justice, as rightly pointed out by the learned Senior Counsel, the Hon'ble Supreme Court of India in *Rajesh Agarwal (cited supra)* held as follows :

"98. The conclusions are summarised below:

98.1. No opportunity of being heard is required before an FIR is lodged and registered."

Furthermore, in *Surendra Patwa (cited supra)*, the Hon'ble Supreme Court of India considered the issue where the first information reports were also quashed while quashing the orders classifying the account as fraudulent



and held that the principles of natural justice apply only to the said administrative action and not to the criminal investigation. In those cases, the banks are again entitled to issue the orders afresh and for that purposes, the first information reports cannot be quashed. It is relevant to extract paragraph 10 which reads as under :

"10. From a perusal of the above paragraphs, it is clear that the principles of natural justice are not applicable at the stage of reporting a criminal offence. It has further been clarified that providing an opportunity of being heard prior to the commencement of a criminal action (i.e. registration of an FIR), would frustrate the very purpose of initiating a criminal proceeding, which is to meet the ends of justice. More specifically, para 98.1 of Rajesh Agarwal's case (supra) explicitly states that no opportunity of being heard is required before an FIR is lodged or registered."

12. Therefore, the respondent organization can proceed with registering the case and conducting the investigation, regardless of the status of the matter related to the classification of the account as fraudulent. It is essential to note that fraud itself is not a criminal offense; if the alleged acts constitute a criminal offense, then an investigation must be conducted and the offenders brought to justice. In fact, if the plant and machinery are hypothecated and sold secretly, prima facie, the elements of criminal misappropriation are established. If any further false representation is made, the offense of cheating would also be made out. If the officials are complicit by receiving any undue



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pccuniary benefits, then additional offenses under the Prevention of Corruption Act, 1988 may also be considered in due course.

13. Accordingly, this Criminal Original Petition is allowed on the following terms:-

(i) The first respondent shall register a case based on the complaint dated 03.08.2022 and the subsequent information provided by the second respondent and other banks. All other creditors, including the petitioner, shall also provide any additional information, if available. Any preliminary enquiry shall be completed within three weeks from the date of receipt of the web copy of this order, and the case shall be registered in accordance with the law;

(ii) The first respondent shall conduct a thorough investigation and submit a final report in accordance with the law. The exercise shall be completed within one year from the date of case registration.

(iii) No costs.

10.06.2025

Neutral Citation: Yes
nsl



Ctrl.O.P.No.11527 of 2025

To

1. The Head of Branch,
Central Bureau of Investigation,
Banking Securities & Fraud Branch -CBI,
36, Bellary Road, 2nd Floor,
CBI Complex, Ganga Nagar,
Bangalore – 560 032.
2. Indian Overseas Bank,
Commercial and Institutional Credit Branch,
R.K.Salai, Mylapore,
Chennai - 600 004,
iob1535@iob.in
3. Bank of India,
Asset Recovery Branch,
No. 30, Errabalu Street, Star House
4th Floor, Chennai – 600 004,
4. The Special Public Prosecutor for CBI Cases
Madras High Court, Chennai.



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D.BHARATHA CHAKRAVARTHY, J.

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10.06.2025